FINANCIAL DUE DILIGENCE MEMORANDUM

Hemerdon Financing and Restart Risk

Capital structure, remaining expenditure and refinancing exposure at Tungsten West

Independent SMPT research • Evidence through 4 November 2026

1 Executive financial thesis

Government capital has materially improved Hemerdon's access to restart finance. The National Wealth Fund (NWF) transaction combines risk-bearing equity with a short core loan and a separate conditional lending option. Tungsten West reports a fully funded restart pathway and commissioning progress. The investment question now concerns how expenditure, operating milestones and customer collections align with the company's financing obligations. [S1, S2, S3]

The £71 million headline reconciles to £36 million equity, a £25 million core loan and a £10 million uncommitted accordion. The first two instruments provide £61 million of gross transaction financing. The accounts disclose full core-loan drawdown by their approval on 2 September. Equity proceeds and borrowed cash have different economic consequences: equity shares residual risk, while debt requires servicing and repayment. Conditional accordion capacity remains subject to further agreement. [S1, S2, S3]

October guidance places remaining project expenditure at approximately £40–45 million, excluding operating costs. This estimate cannot be deducted from gross financing to infer liquidity. Earlier bridge repayment, other expenditures, equipment funding and operating receipts affect the cash available at any later date. The research identifies dated observations, rather than manufacturing a closing cash balance. [S2, S4, S5]

Exhibit 1 Four findings and their investment meaning

Verified result	Financial interpretation
£61m gross core financing	£36m equity plus £25m loan. The £71m maximum includes £10m uncommitted lending.
£40–45m remaining spend	October management estimate of project expenditure, excluding operating costs.
£5.75m incremental stress	Analyst combination of upper-range capex, delay sensitivity and an annual rate proxy.
About £2m August-plan deficit	All £15m forecast receipts deferred. Rounded detailed uses imply about £1m instead.

The principal conclusion is that financing availability and commercial repayment capacity require separate analysis. NWF intervention supports the restart and refinances prior debt. Its short announced tenor leaves the timing of reliable production, sales collections and any refinancing important to both creditors and shareholders. The model quantifies selected exposures without establishing a present funding shortage or debt-repayment sufficiency.

Sources: **S1** **S2** **S3** **S4** **S5** Locators and full titles on page 8 and in the evidence appendix.

2 Restart progress and commercial conversion

Hemerdon is a tungsten and tin redevelopment in Devon held through Drakelands Restoration Limited (DRL), a wholly owned Tungsten West subsidiary. PLC-level financing and group cash are not automatically equivalent to project-level liquidity. Understanding which entity receives funds, owns assets and owes obligations is therefore central to evaluating the restart. The August proposed facility identifies DRL as borrower with group guarantees. [S1, S4]

The operating record has advanced. The issuer announced processing commencement on 15 September. Its October presentation describes fine-gravity wet commissioning in the third quarter and coarse-gravity wet commissioning in October as achieved milestones. These disclosures support a more developed operating position than a financing announcement alone. They remain issuer reports and do not establish sustained design throughput, recovery, payable output or collected cash. [S2, S6]

The 23 September Elmet agreement adds a documented route to market. It covers 1,000 tonnes of contained WO3 annually for eight years, with variable APT-linked pricing. The additional 500-tonne processing provision requires further commercial and delivery agreement and reasonable endeavours. It should remain outside firm contracted sales volumes. The reported nominal value above £1.4 billion at prevailing prices and exchange rates does not establish guaranteed future receipts. [S7]

Exhibit 2 Evidence required as the restart advances

Observed or targeted stage	Financial test
Processing and wet commissioning reported	Sustained hours, throughput, recovery and cost per payable unit.
Elmet offtake signed	Product acceptance, delivery schedule, invoice pricing and collection terms.
FY2028 output guidance	Production and shipment reconciliation before treating guidance as receipts.
Loan repayment or refinancing	Monthly cash minimum, executed maturity and an agreed source of repayment.

Management's FY2028 outlook exceeds 3,300 tonnes of contained WO3 and 600 tonnes of tin. The model uses 3,300 tonnes solely as a reference volume. A production target becomes a cash source only after recoveries, contractual payability, delivery, acceptance and payment. This sequence explains why an offtake agreement can strengthen commercial prospects while leaving working capital and financing timing material. [S2]

Public capital providers should monitor these conversion stages alongside strategic supply objectives. The chronology supports a link between capital provision and the restart pathway, but does not isolate incremental output caused by the intervention. Commodity conditions, engineering performance and private commercial arrangements also influence outcomes.

Sources: **S1** **S2** **S4** **S6** **S7** Locators and full titles on page 8 and in the evidence appendix.

3 Financing instruments and creditor obligations

The NWF package carries different claims on project economics. The £36 million equity component supplies permanent risk capital at group level and changes ownership participation. It does not create scheduled principal repayment. The £25 million core loan adds a contractual financing obligation. The £10 million accordion is an option for potential further debt, with commitment and conditions still to be established. Treating all three as interchangeable financing conceals both dilution and repayment exposure. [S1, S3, S4]

The original announced loan tenor is 366 days. October pricing disclosure specifies SONIA plus an initial 5.5 percentage-point margin, increasing by one percentage point each quarter. This structure gives time an economic cost even before considering the opportunity cost of delayed sales. The exact maturity cannot be fixed from the reviewed disclosures: the August announcement measures tenor from definitive agreement, while the accounts refer to drawdown. Neither an inferred signing date nor the security deed resolves that difference. [S1, S2, S4]

Exhibit 3 Instrument economics and documentation

Instrument or term	Supported status and diligence implication
£36m equity	Gross raise reported. Exact net cash credit and transaction fees remain unreconciled.
£25m core loan	Full draw disclosed by 2 September. Current principal and repayment timetable need confirmation.
£10m accordion	Uncommitted. No default availability assumed in the model.
366 days and quarterly pricing steps	Announced short tenor. Executed start date, rate conventions and fees remain necessary.
Group security deed dated 28 August	Filed fixed/floating security with equipment exclusions. Facility linkage and priority require diligence.

A filed group security agreement names DRL, Tungsten West, Tungsten West Services and Aggregates West as chargors, and GLAS as security trustee. It documents fixed/floating security and a negative pledge, including defined exclusions for financed equipment. The deed references a loan agreement but does not name its lender or reproduce the full terms. Connecting it specifically to NWF remains an inference from timing and parties. Registration alone establishes neither first priority nor collateral realizable value. [S8]

Equipment finance creates a further creditor layer. October disclosure identifies £11 million current equipment finance and approximately £22 million for machines ordered, with three-to-five-year terms and indicative pricing around 10%. Their overlap and draw schedule are unresolved. Summing these figures, or adding April's £22.3 million agreement again, would overstate a verified debt stock. [S2, S9]

Sources: **S1** **S2** **S3** **S4** **S8** **S9** Locators and full titles on page 8 and in the evidence appendix.

4 Dated spending and liquidity reconstruction

October's £40–45 million remaining project expenditure guidance is a management estimate for a defined redevelopment programme. The model uses £42.5 million as a midpoint convention. The company places £25–35 million in FY2027, with the balance in the following financial year. Financial years end on 31 March. Operating costs sit outside this remaining-spend estimate. Its relation to paid deposits, equipment funding and individual scope commitments needs a project ledger. [S2]

The latest exact audited general-use cash balance located is £25,485,511 at 31 March 2026. The £14,912,042 restoration escrow is separately restricted. The accounts' September publication does not update the balance-sheet date. FY2026 net equity cash of £41,029,253 is already included in the March closing cash stock, as is £5,205,000 of convertible-note cash issuance. Adding these flows again would double-count historical funding. [S1]

Exhibit 4 A cash bridge with explicitly unresolved movements

Dated item	Status in reconstruction
31 March general-use cash £25.486m	Audited group opening stock. Restricted escrow excluded.
April Hargreaves payment £3m	Subsequent-event note confirms payment. Further £7m due by 15 May 2027.
May USD25m bridge	Binding facility limit. Exact draw and GBP equivalent unavailable.
28 August bridge repayment	Issuer reports full repayment. Actual GBP outflow, FX and fees unresolved.
NWF gross equity £36m and loan £25m	Raise and full loan draw disclosed. Net equity credit and complete uses still required.
Closing cash at research cutoff	Unavailable without full operating, investing and financing cash movements.

The March £10.642 million deposits balance primarily reflects rebuild purchase orders and is already captured in the financial statements. Construction cash therefore cannot be reconstructed from PPE purchases alone. Similarly, the £197.212 million convertible-note conversion and £167.324 million fair-value remeasurement are non-cash accounting movements. The large reported loss is unsuitable as a proxy for cash consumption. [S1]

The supported inference is that new financing materially changed capital access after March. A precise current funding gap requires a same-date bank-reconciled cash balance, debt schedule and unpaid capex ledger. The absence of that bridge does not overturn management's fully funded restart statement, and this assessment makes no contrary finding of a current cash shortage.

Sources: **S1** **S2** **S5** **S9** **S10** Locators and full titles on page 8 and in the evidence appendix.

5 Scenarios quantify separate financial exposures

The expenditure sensitivity starts from October's £42.5 million midpoint. Moving to the £45 million upper end adds £2.5 million. The accounts describe an approximately £3 million effect from a three-month delay involving fallback processing. The model combines these with a separate analyst assumption: one percentage point on a constant £25 million principal for one year, or £0.25 million. The resulting incremental stress is £5.75 million. [S1, S2]

The combined amount tests exposure above the reference convention. It is not management's forecast, a complete cash requirement or a contractual interest schedule. The interest proxy does not reconstruct SONIA, quarterly margin steps, day-count conventions or repayment. Delay cost has no assigned fiscal year. The model assumes no accordion draw, preserving the distinction between an uncommitted facility and available liquidity.

Exhibit 5 Reconciliation of the two scenario findings

Calculation in GBP millions	Result and meaning
(45 − 42.5) + 3 + (1% × 25 × 1 year)	5.75 incremental cost and rate stress above the midpoint.
August sources 88 − deferred receipts 15	73 sources remain under this counterfactual.
Stated uses 88 − target reserve 13	75 non-reserve uses on the aggregate-total convention.
73 − 75	−2 ending cash. £15m below the original reserve target.
Detailed rounded uses 87 − reserve 13	74 non-reserve uses. Alternative ending cash −1.

The receipt sensitivity addresses a different question. The original August plan combined £61 million equity and core debt with £7 million opening cash, £5 million provision recovery and £15 million anticipated receipts. Published aggregate sources and uses were both £88 million, including a £13 million reserve. Holding other items fixed and deferring all receipts produces approximately £2 million negative cash on stated totals. The separately rounded use lines sum to £87 million and produce approximately £1 million instead. [S4]

This is a boundary test of the original plan at its unspecified peak funding date. It neither asserts that receipts failed nor measures present liquidity. It also differs from the £15 million shortfall against the planned reserve. October remaining-spend guidance and August uses overlap in scope and date, so adding the £5.75 million stress to the August deficit would create a misleading aggregate funding-gap figure.

Sources: **S1** **S2** **S4** Locators and full titles on page 8 and in the evidence appendix.

6 Cash generation and refinancing economics

The financing horizon and the operating ramp need to be evaluated together. A 366-day core loan can require repayment or replacement while a large redevelopment is still establishing reliable production and collections. FY2028 company guidance includes approximately £26 million NWF principal and interest, approximately £6 million equipment service and £7 million Hargreaves payment, alongside £70–75 million cash operating costs and sustaining capex. These fiscal-year estimates provide context, rather than a monthly repayment forecast. [S2]

The model's core annual cash reference is £109–114 million, with a £111.5 million midpoint. At 3,300 tonnes contained WO3, 100 mtu per tonne, 79.5% payability and a modeled 3% deduction, each £1 per mtu of GBP APT reference produces £254,479.50 of annual tungsten receipt proxy. Dividing the midpoint cash reference by this coefficient gives £438.15 per mtu. The coefficient is an explicit model assumption set, not a reconstruction of Elmet's executed contract. [S2]

Exhibit 6 FY2028 tungsten-only core coverage reference

Cost case	Core cash reference	GBP APT reference per mtu
Lower operating-cost case	£109.0m	£428.33
Midpoint convention	£111.5m	£438.15
Upper operating-cost case	£114.0m	£447.97

These coverage references exclude tin and aggregate receipts, remaining restart capex, discretionary growth, cash taxes and working-capital changes. Omitted revenue and costs work in opposite directions. The result cannot serve as full project break-even, a conservative bound, a valuation or lender debt-service coverage. The workbook leaves the forward APT price blank. Any entered price must be an explicit independent GBP assumption, with no silent USD conversion.

Within fixed coefficients, a £100 per mtu change in reference price changes the annual tungsten receipt proxy by about £25.45 million. Actual cash depends on achieved output and collection. Strong prices can therefore improve financing prospects without proving reliable debt service. Conversely, commissioning delay can combine later receipts, further expenditure and higher financing cost.

The practical refinancing test is whether dependable operating cash arrives before contractual repayment, or whether replacement capital is agreed in time. The available public record does not establish repayment sufficiency, covenant headroom or default probability. Those assessments require executed terms, monthly cash forecasts and a consolidated equipment-debt schedule.

Sources: **S1** **S2** **S4** **S7** Locators and full titles on page 8 and in the evidence appendix.

7 Institutional implications and monitoring priorities

For equity investors, the transaction reduces reliance on uncertain access to restart capital, while increasing the importance of future cash generation and the terms of any further financing. Equity support absorbs risk without scheduled repayment, but neither the headline nor a strong commodity market establishes shareholder value. A valuation would require ownership and dilution analysis, a life-of-mine model, taxes, working capital, closure obligations and an explicit discount rate.

For lenders, the first priority is an executable repayment calendar. The definitive facility should settle the tenor origin, SONIA conventions, quarterly step dates, covenants, cure rights and accordion conditions. Security diligence should establish collateral scope, financed-equipment exclusions, priority and enforceability. The registry filing is useful documentary evidence, but cannot substitute for the complete financing package.

For public capital providers, implementation monitoring should follow capital deployment into commissioned capacity and then verified supply. Equity exposure, debt recovery and strategic delivery are different objectives. Measuring additional industrial output or a financing-cost subsidy requires a credible counterfactual beyond this record. An offtake negotiation right alone does not establish a government purchase commitment or a price floor. [S3, S4]

Exhibit 7 Evidence that would change the financial assessment

Indicator	Improvement or deterioration to assess
Bank-reconciled liquidity and capex ledger	Remaining obligations funded with clear headroom, or rising unpaid commitments and restricted cash.
Throughput, recovery and payable shipments	Sustained conversion toward guidance, or repeated commissioning and acceptance delays.
Receivable ageing and collections	Contracted output converts to cash, or working capital absorbs financing.
Executed repayment and refinancing terms	Agreed replacement capital or cash cover, or an unresolved maturity approaching.
Equipment draw and amortisation schedule	No double-counted capacity and manageable cash service, or concentrated payment pressure.

Hemerdon's financing has advanced from a policy announcement to disclosed equity funding and loan drawdown. Processing and commercial progress provide relevant support for management's restart pathway. The most consequential next evidence is the alignment of delivery, collections and refinancing with the short loan horizon. SMPT's financial contribution is an instrument-level reconstruction and transparent scenario analysis. The findings support a substantive financing case while leaving present liquidity and investment valuation open.

Sources: **S1** **S2** **S3** **S4** **S7** **S8** Locators and full titles on page 8 and in the evidence appendix.

8 Methodology and primary source guide

The research cutoff is 4 November 2026. Publication production on 5 November does not extend the evidence horizon. This memorandum uses the Phase 1B accepted evidence register and model at commit 772f2f4c02631f533a0a893849c9bedb8a6ff8ad. GBP amounts, source reporting dates and company/project scope are retained. Financial years end on 31 March. Audited accounts, issuer guidance, filed documents and analyst scenarios have different evidentiary roles.

All four principal findings reconcile to the accepted workbook and independent calculation record. Phase 1B tested 32 cases in LibreOffice, including missing-input boundaries, with no remaining failures and no differences across 167 cached formula results. It preserved the earlier missing-input failures and their correction trail. Native Microsoft Excel execution remains unverified. The publication workbook is a byte-identical copy with a separate model guide.

The evidence appendix provides source IDs, claim-level locators, metric definitions and the complete limitations framework. The model is a bounded financing and sensitivity tool. It excludes unsupported current cash, current total debt, full financing gap, NPV/IRR, equity valuation, covenant headroom and repayment conclusions. Selected findings are independently derived from disclosed facts, rather than an audit of company forecasts.

S1 Annual Report and Accounts 2026 (2026-09-03)

S2 Unlocking Hemerdon: Corporate Presentation October 2026 (2026-10-13)

S3 National Wealth Fund backs Tungsten West to unlock critical UK tungsten supply (2026-08-25)

S4 Strategic Investment by the UK Government National Wealth Fund, RNS9611R (2026-08-25)

S5 Short-Term Loan Repayment (2026-08-28)

S6 Processing operations commence during visit by NWF, RNS7152U (2026-09-15)

S7 Strategic Tungsten Supply and Offtake Agreement with The Elmet Group, RNS 8695V (2026-09-23)

S8 DRL charge118544670005 and executed group security agreement (Deed dated 28 August; filed 1 September 2026)

S9 Q1 2026 Project Update, RNS5416Z (2026-04-08)

S10 Q1 2026 Project Funding and Debt Update (2026-05-21)

Distribution status: prepared for publication review. Independent human financial/editorial review and source-specific rights clearance remain release gates. No original AMC tables, source PDFs or proprietary benchmark series are reproduced. This research does not express an investment recommendation.